3.4

Legal Controls Related to Marketing

Cambridge IGCSE Business

- Why Legal Controls Exist
- Misleading Promotion
- Faulty Goods
- Effects on Marketing
- Real-World Cases

Why do legal controls exist?

Without legal controls, businesses could mislead customers, sell dangerous goods and use unfair promotion. Laws protect customers and create a fair marketplace.

- Protect customers from unsafe or faulty goods
- Prevent businesses from making false claims
- Ensure fair competition between businesses
- Allow courts to penalise rule-breaking firms
- Build public trust in markets and brands

Why Legal Controls Exist

Protecting customers · Creating fair markets

The Purpose of Legal Controls Related to Marketing

Legal controls related to marketing exist to protect customers and ensure businesses compete fairly. They cover two main areas: misleading promotion and faulty goods.

The two main areas of legal control:

1. Misleading Promotion

- Businesses cannot make false claims about products
- Adverts must not deceive or mislead customers
- Pricing must be honest — no fake 'was/now' discounts
- Regulated by the Advertising Standards Authority (ASA)

2. Faulty Goods

- Goods must be of satisfactory quality and safe
- Products must be fit for purpose as sold
- Items must match their description accurately
- Consumer Rights Act 2015 gives customers legal rights

What customers are legally entitled to:

Honest Descriptions
Products must match what i s claimed in adverts

Safe Products
Goods must meet safety sta ndards and not harm users

Fair Pricing
No misleading 'was/now' pr ices or hidden charges

Right to Repair
Faulty goods must be repai red, replaced or refunded

Misleading Promotion

What it is · Why it's banned · Real examples

Misleading Promotion – Definition & Types

Misleading promotion is any advertising or marketing communication that deceives, misleads or creates a false impression in the minds of customers.

Types of Misleading Promotion (All are ILLEGAL)

False Claims
'Clinically proven' when it isn't

Fake Discounts
Was £50, now £25 never sold at £50

Hidden Charges
Small print fees not shown upfront

Bait Advertising
Advertise cheap item then push expensive

The ASA LDHT Test — all adverts must be:

L Legal
Must not break any law or regulation

D Decent
Must not cause serious or widespread offence

H Honest
Must not mislead customers about products

T Truthful
Claims must be accurate and able to be substantiated with evidence

Exam tip: The ASA investigates complaints and can force businesses to withdraw adverts. Breaching advertising law can resultin heavy fines.

Misleading Promotion – Real-World Company Cases

These are real cases where companies faced legal action for misleading customers. They show the serious consequences of breaking advertising and marketing laws.

Red Bull

Misleading Health Claims

Red Bull's slogan 'Gives You Wings' was taken literally. US class action lawsuit — company paid $13 million in settlement. New adverts had to remove the 'wings' claim.

Red Bull
Fined $13m in the USA
'gives you wings' — no it doesn't

Volkswagen

False Environmental Claims

VW programmed cars to cheat emissions tests — real emissions were 40x legal limits. Fined over $30 billion worldwide. Executives imprisoned. Millions of cars recalled.

VW Scandal
Faked emissions data
$30bn fines worldwide

McDonald's

Nutritional Information

New UK laws now require all large food chains to clearly display calorie counts on menus. McDonald's, KFC and others had to redesign all menus at significant cost.

M
McDonald's
Must clearly display
calorie counts on menus

Apple

Undisclosed Product Issues

Admitted to deliberately slowing down older iPhones without telling customers. $113 million settlement in the USA. Forced to offer battery replacement programme at reduced cost.

Apple
$113m settlement
deliberately slowed old iPhones

Amazon

Fake Reviews

Fined by Italian competition authorities for hosting paid fake reviews that misled customers. Now required to clearly label sponsored and verified content.

Amazon
Fined for hosting
fake paid reviews (2023)

Tesco

Misleading Pricing

Advertised strawberries as 'half price' but the original 'was' price had only been charged for a few days. Trading Standards investigated. Tesco forced to change pricing practices.

Tesco
Fined for misleading
'half-price' strawberry promotions

Faulty Goods & Consumer Rights

What the law requires · Customer remedies

Faulty Goods – The Consumer Rights Act 2015

The Consumer Rights Act 2015 is the main law protecting customers who buy faulty or mis-described goods in the UK. It sets out what businesses must do.

Goods must meet three standards:

Satisfactory Quality

Goods must not be faulty, damaged or unfit for use. They should last a reasonable amount of time and be free from defects.

A TV that stops working after 2 weeks is not of satisfactory quality — the customer has a legal right to a remedy.

Fit for Purpose

Products must do the job they were sold to do, including any specific purpose the customer told the seller about.

Waterproof boots that let in water are not fit for purpose — even if they were not actually faulty or broken.

As Described

Goods must match their description — whether on packaging, in advertising, on a website or told to the customer by staff.

A 'large' sofa that turns out to be smaller than advertised can be returned — it was not as described.

Exam tip: Know all three standards — quality, fit for purpose, as described. Any breach gives the customer a legal right to a remedy.

Faulty Goods – Customer Remedies & Business Obligations

When goods are faulty, the law sets out exactly what customers are entitled to and what businesses must do. The remedy depends on when the fault is discovered.

Customer rights — timeline of remedies:

Within 30 days	**Full refund** Customer can reject the goods and receive a complete refund, no questions asked.
30 days – 6 months	**Repair or Replace** Business must repair or replace first. If unsuccessful, customer can get a refund.
6 months – 6 years	**Partial refund** Customer must prove the fault existed at point of sale. Business may reduce refund.

What businesses are legally required to do:

- Repair or replace faulty goods at no charge to the customer
- Ensure products meet safety standards before sale
- Issue a refund within the legally prescribed time periods
- Describe products accurately in all adverts and packaging

Effects of Legal Controls on Marketing

How the law shapes what businesses can and cannot do

Effects of Legal Controls on Marketing Activity

Legal controls do not just punish businesses — they actively shape how a business can market itself. Some effects are positive and some create challenges.

Positive Effects on Business

- ☑ Builds customer trust and loyalty
- ☑ Levels the playing field — all must comply
- ☑ Reduces costly legal disputes and recalls
- ☑ Encourages better product quality standards
- ☑ Enhances long-term brand reputation

Negative Effects on Business

- ✕ Increases costs (labelling, testing, compliance)
- ✕ Restricts certain advertising messages
- ✕ May slow product launch due to legal checks
- ✕ Fines and legal action if rules are broken
- ✕ Limits promotional flexibility and creativity

Specific impacts on the marketing mix:

Product

Must meet quality, safety and description standards before launch. Extra testing required.

Price

Cannot use misleading 'was/now' pricing without genuine price history evidence.

Place

Online sellers must display accurate descriptions, return policies and pricing clearly.

Promotion

All adverts must be Legal, Decent, Honest and Truthful — no false or exaggerated claims.

Legal Controls – Comparing Misleading Promotion vs Faulty Goods

Both types of legal control protect customers in different ways. Businesses must comply with both or face serious consequences.

	Misleading Promotion	Faulty Goods
What it covers	Adverts, descriptions, pricing, promotions and claims made about products	Physical products — their quality, safety and whether they match their description
Key law / regulator	ASA (Advertising Standards Authority) enforces LDHT rules	Consumer Rights Act 2015 — enforced through Trading Standards
What is banned	False claims, fake discounts, hidden charges, misleading images or wording	Selling goods that are defective, unsafe, unfit for purpose or mis-described
Consequences	Fines, forced withdrawal of adverts, reputational damage, legal prosecution	Must repair, replace or refund. Fines, legal action, product recalls
Real example	*Red Bull paid $13m for 'gives you wings' — could not prove the health claim*	*Apple paid $113m for deliberately slowing older iPhones without informing users*

Exam tip: Know specific examples for BOTH types. The examiner wants to see you can apply knowledge — not just define terms.

Key Revision Checklist – 3.4 Legal Controls Related to Marketing

Purpose	Legal controls protect customers from misleading promotion and faulty goods — and ensure fair competition between businesses
ASA / LDHT	All adverts must be Legal, Decent, Honest and Truthful — the ASA enforces these rules and can force withdrawal of adverts or issue fines
Misleading Promo	Banned: false claims, fake 'was/now' prices, hidden charges, bait advertising — examples: Red Bull ($13m), VW ($30bn), Tesco fake half-price promotions
Faulty Goods	Consumer Rights Act 2015: goods must be satisfactory quality, fit for purpose, as described — customer rights: 30 days (refund), 6 months (repair/replace), 6 years (partial)
Effects on Mktg	Positive: builds trust, fair market, better quality. Negative: higher costs, restricts promotion, slows launches, fines for non-compliance
4 Ps impact	Product (safety testing), Price (no fake discounts), Place (accurate online descriptions), Promotion (LDHT rules apply to all advertising channels)